HOUSING / ASSIGNMENT 01

National Housing Bank

Housing finance and its consequences for architecture

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Happinest Palghar-1 · developer rendering in NHB's SUNREF booklet, p.49

Sources: CASE

The institution behind housing lenders

A national development finance institution established by statute

NHB supports the institutions that finance housing in India.

It supplies refinance, supports market development and supervises housing finance companies (HFCs).

Individual homebuyers normally borrow from a bank or HFC. NHB does not make retail home loans directly to individuals.

NHB

Institutional finance

Bank / HFC

Borrower appraisal and home loan

Household

Purchase, construction or improvement

Architectural relevance: access to finance affects which households can occupy a proposed home.

Sources: NHB · AR · FAQ

Why housing needed an apex institution

Long repayment periods required a stronger institutional finance system

The original gap

The Seventh Plan housing-finance review identified a shortage of long-term finance for individual households.

The institutional response

A national institution could mobilise resources and strengthen dedicated housing lenders across regions.

The housing consequence

Without accessible credit, even a well-designed house can remain beyond a household's purchasing capacity.

Finance expands purchasing capacity.
Land, services and construction determine what it can purchase.

Sources: NHB

A changing mandate

Select a milestone to discuss its significance

1987–88

Parliament enacted the NHB Act, 1987. NHB began on 9 July 1988 with RBI ownership.

2007–18

RESIDEX began in 2007. The Affordable Housing Fund followed in 2018.

2019

Government of India acquired RBI's shareholding. HFC regulation, including registration, moved to RBI on 9 August 2019. NHB retained supervision.

2023–26

NHB manages UIDF and serves as a Central Nodal Agency for PMAY-U 2.0 ISS. Its FY 2025–26 report records continued refinance and supervision.

Sources: NHB · MILE · AR

Inclusion with stability

The mandate combines sector development with financial soundness

VISION, PARAPHRASED

Expand housing finance inclusively while maintaining stability.

MISSION, PARAPHRASED

Serve housing needs across the population, with emphasis on households with low and moderate incomes.

Resources

Mobilise funds and channel them towards housing.

Reach

Strengthen institutions serving different regions and income groups.

Affordability

Promote viable, cost-effective housing credit.

Housing supply

Encourage serviced land, materials and improvement of the housing stock.

PMAY-U 2.0 annual household income: EWS up to ₹3 lakh, LIG above ₹3–6 lakh, MIG above ₹6–9 lakh. Limits vary by scheme.

Sources: NHB

Governance and relationships

Government ownership, institutional lending and local implementation

OWNER / ADMINISTRATIVE CONTEXT

Government of India

Department of Financial Services, Ministry of Finance

GOVERNANCE

Board of Directors

Managing Director and executive management

OPERATIONS

Head office, New Delhi

16 regional offices as of June 2026, including Thiruvananthapuram

Core work areas

Refinance, project finance, resource mobilisation, supervision, government schemes, research and risk management.

Public agencies

MoHUA and states link policy, subsidy and infrastructure. ULBs and housing agencies deliver projects and services.

Private and social actors

Banks and HFCs lend. Developers build. NGOs can assist mobilisation and documentation. Households repay and occupy.

Sources: NHB · AR

How NHB's finance works

Institutional refinance and retail mortgages have different terms

FEATURE	NHB AND THE LENDER	LENDER AND THE HOUSEHOLD
Funds	Capital, bonds, money-market borrowing and designated funds. International credit lines support specific initiatives.	A PLI combines its funding sources to make home loans.
Lending	Refinance against eligible housing-loan portfolios. Project finance supports eligible housing supply.	Purchase, construction, extension or repair, subject to appraisal.
Price and repayment	Scheme-specific rates and tenures. Fixed or floating options apply. Concessions do not automatically equal retail rate cuts.	Contractual interest and monthly instalments. Income, tenure and loan size affect repayment.
Security and access	NHB assesses institutional eligibility, performance and security under its scheme.	Property mortgage / title checks and borrower credit appraisal. Required own contribution remains a barrier.

Loans against property for non-housing purposes are excluded from the cited refinance scheme. NHB's rate is not an individual borrower's quoted rate.

Sources: AR · RF

Finance connects to housing through several routes

Housing provision includes the dwelling, its services and its long-term use

HOUSING ISSUE	NHB'S CONTRIBUTION	ARCHITECTURAL IMPLICATION
Urban and rural credit	Refinance through eligible PLIs, including banks, HFCs, RRBs and small finance banks.	Proposals need realistic household budgets and clear tenure.
Affordable housing	AHF and targeted refinance support eligible smaller loans and priority segments.	Efficient area planning must preserve habitability.
Housing supply	Project finance provides a supply-side route for eligible agencies and projects.	Appraisal requires viable costs, approvals and implementation.
Infrastructure	UIDF supports public agencies in Tier 2 and Tier 3 cities.	Water, sewerage and drainage influence usable housing.
Policy and knowledge	Subsidy administration, RESIDEX, research and capacity building. Green-housing initiatives connect finance to certification.	Architects can document costs, performance and scheme compliance.

Sources: AR · UIDF

Different instruments, different beneficiaries

Each programme has a specific objective and delivery route

INSTRUMENT / STATUS	TARGET AND MECHANISM	IMPLEMENTATION / REPORTED OUTCOME
AHF / current	Eligible rural and urban housing loans, with EWS emphasis. NHB refinances PLIs.	FY 2025–26: ₹9,100 crore and 52,398 dwelling units.
PMAY-U 2.0 ISS / current	Eligible EWS / LIG / MIG homebuyers receive interest subsidy through PLIs.	NHB is a CNA. By June 2026: ₹397.42 crore sanctioned for 1.04 lakh beneficiaries.
UIDF / current	Public agencies deliver eligible infrastructure in Tier 2 / Tier 3 cities. NHB manages the fund.	By June 2026: ₹16,852.49 crore sanctioned, ₹2,738.06 crore disbursed.
SUNREF / 2017–22	Green affordable housing through a €100m credit line and EU grants, with technical assistance.	AFD's 2025 evaluation assesses results and limits.
Earlier CLSS / historical	Interest subsidy for eligible housing borrowers under earlier PMAY-U rules.	EWS/LIG window ended March 2022, MIG March 2021. These are different from ISS.

CNA = Central Nodal Agency. Sanctions, disbursements and completed dwellings measure different stages.

Sources: AR · ISS · EVAL

The household's loan still needs to be affordable

Refinance, subsidy and repayment are separate mechanisms

1. Household and PLI

The bank / HFC checks income, title, loan purpose and repayment capacity, then lends to the household.

2. PLI and NHB

The eligible lender seeks refinance against qualifying loans. It remains responsible for its retail loan.

3. Subsidy, where eligible

Under ISS, MoHUA funds flow through a CNA such as NHB and the PLI to the beneficiary's loan account.

ISS: income ≤ ₹9 lakh, loan ≤ ₹25 lakh, house value ≤ ₹35 lakh and carpet area ≤ 120 m². Other eligibility and account conditions apply. Subsidy is 4% on the first ₹8 lakh for up to 12 years, with a maximum release of ₹1.80 lakh in five annual instalments.

ILLUSTRATIVE REPAYMENT CALCULATOR

Loan amount **₹15 lakh**



Annual interest **8.5%**



Tenure **20 years**



₹13,017

monthly EMI

43.4% of an illustrative ₹30,000 monthly income

A teaching model with a constant rate. Excludes fees, subsidy and living costs. Rates are assumptions, not an NHB offer.

Sources: RF · ISS

Happinest Palghar-1

Nandore village, Palghar, Maharashtra



Developer site rendering, not a measured drawing. NHB SUNREF booklet, p.56. Click to enlarge.

DOCUMENTED EXAMPLE, 2022

Developer
Mahindra Happinest Developers Ltd

Architect
Ashok B Lall Architects

849 dwelling units

8.35 acres of site

11 residential buildings, ground + 4 floors. Compact 1RK, 1BHK and 2BHK homes address the LIG market.

Launched February 2018. IGBC Green Affordable Housing pre-certification: Platinum, as documented in the booklet.

NHB documented this SUNREF learning example. A direct NHB construction loan is not established.

Sources: CASE · ML

Compact homes and shared environmental services

Architectural lessons from the documented Palghar example

Planning

Shared open space and common facilities support community use. Compact apartments reduce the entry price.

Construction

RCC structure, cementitious material substitution and lightweight block walls. The source varies in its block specification.

Services

Rainwater harvesting, treated-water reuse, efficient fixtures and common-area lighting.

Comfort

The booklet reports daylight and openings to the exterior. Maintenance and actual thermal comfort still need verification.

FINANCE AND SOCIAL READING

Retail credit connects the buyer to the unit. Interviews highlighted price, layout and developer credibility.

Compact homes need adequate storage and adaptable layouts. Shared systems require funded maintenance.

Design savings and pre-certification need verification after occupation. These observations are architectural analysis.

Sources: CASE

Refinance at national scale

Annual disbursement grew to ₹45,403 crore in FY 2025–26

REFINANCE DISBURSEMENT · ₹ CRORE



NHB financial year: July–June. Annual Report 2025–26, Annexure V, printed p.152.

₹1,23,974 cr

Refinance outstanding at June 2026

₹4.68 lakh cr

Cumulative refinance since inception

52,398 units

AHF-linked dwelling units in FY 2025–26

These figures show financing activity. They do not independently measure new homes, occupancy or improved living conditions.

Sources: AR

Credit access remains uneven

The barriers extend beyond the availability of institutional funds

CONSTRAINT	EFFECT ON HOUSING ACCESS	WHAT WOULD HELP
Informal or irregular income	A household can need housing yet fail a lender's repayment assessment.	Better income assessment and suitable products, with responsible lending.
Title and own contribution	Unclear tenure or limited savings can prevent a mortgage.	Tenure support and coordination with land and housing agencies.
Land and service costs	Higher land prices can absorb the benefit of cheaper finance.	Serviced sites, realistic project costs and infrastructure delivery.
Lender incentives	Refinance concessions may not reach the borrower in full.	Track final loan pricing and beneficiary outcomes.
Housing quality and location	Peripheral housing can add transport costs and weaken access to work.	Assess location, habitability, maintenance and total living costs.

Analytical assessment. NHB can support finance and institutions, while land policy and local implementation require other agencies.

Sources: RF · EVAL · ISS

The architect’s contribution

Housing quality and financial viability need to be considered together

A viable project needs a household budget and a life beyond handover.

At concept stage, connect unit area, sale price and the intended residents’ ability to pay.

During design, make space for infrastructure and maintenance access. Avoid reducing cost through inadequate daylight, ventilation or essential services.

Before appraisal

DPR, cost estimate, title and approval status, phasing and demand assumptions.

In the design

Carpet area, accessible circulation, climate response and appropriate materials.

At handover

Completion evidence, operating instructions and responsibilities for shared systems.

After occupation

Occupancy, actual bills, thermal comfort and resident feedback.

NHB’s programmes give architects a reason to document affordability and performance, alongside form and construction.

Sources: ISS · CASE · AR

SUNREF's evaluation tests the success claim

AFD / ECORYS, April 2025: green affordable housing, 2017–22

57%

EWS / LIG participation

54%

Female ownership

2.4%

Beneficiaries with verified interest-rate subvention under the evaluator's test

An inclusive intention

The programme joined environmental and affordability objectives. The evaluator found that participation figures largely reflected existing market patterns.

A limited transmission

Disbursement concentrated in two PLIs. Borrowing rates became uncompetitive after COVID-related rate reductions.

An attribution problem

Many homes already existed before refinance. Environmental claims used estimates, with no continuing performance verification.

Programme findings cannot be treated as measured results for Happinest Palghar-1.

Assessment: verify borrower savings and building performance, while widening lender participation.

Sources: EVAL · AFD

NHB's value depends on what finance delivers

A critical conclusion

NHB strengthens the supply of housing finance. Its social value depends on whether that finance reaches underserved households and supports adequate homes.

Refinance and subsidy need clear borrower benefits. Infrastructure and land policy need coordinated delivery.

For architects, affordability includes usable space, location, services and the cost of living in the home.

CLASSROOM CHECK

Who holds HFC regulatory powers, including registration, after the 2019 transfer?

Answer: RBI. NHB continues HFC supervision, financing and development.

Sources: AR · RBI · EVAL

Sources and evidence

Official institutional sources and a published independent evaluation

01 NHB, About us

02 NHB Annual Report 2025–26

03 RBI, Review of regulatory framework for HFCs, 2020

04 NHB, Refinance scheme guidelines, 2024

05 MoHUA, PMAY-U 2.0 Guidelines, September 2024

06 NHB, Urban Infrastructure Development Fund

07 NHB / AFD / EU / CRISIL, SUNREF Success Story Booklet, 2022

08 AFD / ECORYS, SUNREF evaluation, April 2025

09 Mahindra Lifespaces, Q4 FY18 results, 27 April 2018

10 NHB, Frequently asked questions

11 NHB, Milestones

12 AFD, SUNREF evaluation overview, 30 April 2025

Main numerical source: Annual Report 2025–26, pp.26–36, 40–44 and Annexures V–VIII. Case: pp.49–61. Evaluation: pp.1–2. Access checked 12 October 2026.

Assignment structure: Bishop Jerome Institute, Housing Assignment 1, dated 27 August 2026. The presentation uses the brief's A–J and L sections. Diagrams and repayment examples are teaching aids. Developer renderings are credited and are not photographs of completed buildings.

Sources: Linked references above